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FINALTERM EXAMINATION
Fall 2008
MGT610- Business Ethics (Session - 1)

Marks: 81

Question No: 1 (Marks: 1) - Please choose one

The _____ refers to the potential conflict between management and shareholders due to management's control of financial rewards as well as the possibility of incompetent performance by managers.

► Agency problem

► Liquidity problem

► Regulatory problem

► Diversification problem

Question No: 2 (Marks: 1) - Please choose one

A shift to judgments based on rules or norms of a group to which the individual belongs is characteristic of which level of moral development?

► Post-formal

► Pre-conventional

► Conventional

► Post-conventional

Question No: 3 (Marks: 1) - Please choose one

Commodities that are considered valuable only because they lead to other good things are called:

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► Instrumental goods

► Instrumental values

► Intrinsic goods

► Intrinsic values

Question No: 4 (Marks: 1) - Please choose one

"The desire for a good or a service" best represents:

► Need

► Want

► Desire

► None of the given

Question No: 5 (Marks: 1) - Please choose one

Which of the following choices does **NOT** describe a situation that is covered by the concept of rights?

► The absence of prohibitions against an activity

► The authorization to do something to secure one's interests

► The necessity of doing something required by authority

► The existence of prohibitions on others to enable individuals to pursue an activity

Question No: 6 (Marks: 1) - Please choose one

Which of the following holds that all public offices and employment should be made available to everyone?

► The principle of equal liberty

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► The difference principle

► The principle of equal opportunity

► The principles of ethics

Question No: 7 (Marks: 1) - Please choose one

Which of the following is **FALSE** of Nozick's theory of justice?

► Theory is redistributive

► None of the above options

► Theory is historical

► Theory is no patterned

Question No: 8 (Marks: 1) - Please choose one

Which of the following does **NOT** describe "virtue"?

► The traits that everyone needs for a good life

► An excellence that is admired in a person

► A disposition to act in multidimensional way

► A specific state of character

Question No: 9 (Marks: 1) - Please choose one

Who presented the theory of absolute advantage?

► Adam Smith

► Friedrich A. Hike

► Murray Roth bard

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► Eric Mack

Question No: 10 (Marks: 1) - Please choose one

John Maynard Keynes argues that the aggregate demand for goods and services is the sum of the demand of which of the following factor(s)?

► Households

► Businesses

► Government

► All of the given options

Question No: 11 (Marks: 1) - Please choose one

Which of the following is the price that just covers the costs of producing the commodity including the going rate of profit obtainable in other markets?

► Natural price

► Selling price

► Price flexibility

► Market price

Question No: 12 (Marks: 1) - Please choose one

Which of the following rights is embodied by perfectly competitive free markets?

► Negative right of freedom from coercion

► Positive right of freedom from coercion

► Moral right of freedom from coercion

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► Ethical right of freedom from coercion

Question No: 13 (Marks: 1) - Please choose one

Which of the following refers to the undesirable and unintended contamination of the environment by the manufacture or use of commodities?

► Toxic substance

► Pollution

► Acid rain

► Airborne toxic

Question No: 14 (Marks: 1) - Please choose one

Which of the following is a public policy view that holds that large firms should not be broken up into smaller units but subjected to substantial governmental restraint and controls?

► The Chicago school view

► The do-nothing view

► The anti-trust view

► The regulation view

Question No: 15 (Marks: 1) - Please choose one

Which of the following public policy view claims that the power of oligopolies is not as large as it appears?

► The Chicago school view

► The do-nothing view

► The anti-trust view

► The regulation view

Question No: 16 (Marks: 1) - Please choose one

How many people in the world don't have access to safe water?

► 1 billion

► 1.5billion

► 2 billion

► 2.5 billion

Question No: 17 (Marks: 1) - Please choose one

If a firm makes basic goods (food product, clothing) for which the poor must allocate a larger proportion of their budgets than the affluent. In this case which of the following may place a heavier burden on the poor?

► Social costs

► Internalizing costs

► Product costs

► External costs

Question No: 18 (Marks: 1) - Please choose one

Which of the following requires that those who have been injured should be compensated by those who injure them?

► Rights

► Utilitarian

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► Redistributive justice

► Compensatory justice

Question No: 19 (Marks: 1) - Please choose one

Which of the following explains the bearing of external costs of pollution largely by those who do not enjoy a net benefit from the activity that produces the pollution?

► Ecological ethic

► Social ecology

► Environmental injustice

► Eco-feminism

Question No: 20 (Marks: 1) - Please choose one

Who argued that there is a fundamental human right to a livable environment?

► William Blackstone

► Carol Gilligan

► Robert Nozzick

► John Locke

Question No: 21 (Marks: 1) - Please choose one

Which of the following describes the saving or rationing natural resources for future use?

► Consumption

► Conservation

► Reservation

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► Destruction

Question No: 22 (Marks: 1) - Please choose one

Critics to the market approach respond that the benefits of free markets are obtained only when the markets have all of the following characteristics, **EXCEPT:**

► There are numerous buyers and sellers

► There are external costs

► Everyone can freely enter and exit the market

► Everyone has complete and accurate information

Question No: 23 (Marks: 1) - Please choose one

Which of the following is **NOT** a problem with the assumption of rational utility maximization?

► Few people are good at estimating probabilities

► People are generally irrational and inconsistent when weighing the choices

► Many consumer markets are monopolies or oligopolies

► Utility maximizer has a well-defined and consistent set of preferences

Question No: 24 (Marks: 1) - Please choose one

Our probability judgments go astray for a number of reasons, including all **EXCEPT:**

► People believe that they exert control over purely chance events

► Generalizations are made on the basis of small sample findings

► Emphasis on "causation" results in the under weighing of evidence that is relevant

► We forget to take the "law of averages" into account

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Question No: 25 (Marks: 1) - Please choose one

Which of the following statements could **NOT** be made by a believer in ecological ethics?

- ► The world must be protected for the sake of human beings
- ► The well-being of all the life on earth has value in itself
- ► Humans have no right to reduce the diversity of life except to satisfy vital needs
- ► Appreciate the quality of life rather than striving for a higher standard of living

Question No: 26 (Marks: 1) - Please choose one

Which of the following statements is **TRUE** of the beliefs of deep ecology?

- ► It is our moral duty to protect the human beings
- ► Non human parts of the environment deserve to be preserved for their own sake
- ► Only human parts of the environment deserve to be respected
- ► The world must be protected for the sake of human beings

Question No: 27 (Marks: 1) - Please choose one

According to critics of marker approach, how many characteristics market will have to obtain the benefits of free market?

- ► 7
- ► 5
- ► 4
- ► 3

Question No: 28 (Marks: 1) - Please choose one

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Which of the following is the view that describes the relationship between a firm and its customers where the firm's moral duties to the customer are those created by this contract?

- ► Contract view of business duties
- ► The duty of disclosure
- ► The due care theory
- ► None of the given options

Question No: 29 (Marks: 1) - Please choose one

Which of the following is the main objection against the assumptions of contractual theory?

- ► Unrealistic
- ► Impractical
- ► Concentrated on sellers only
- ► Concentrated on buyers only

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** a valid criticism on the ethics of advertising?

- ► Advertising uses images that many find vulgar and offensive
- ► Advertising debases the tastes of consumers
- ► Advertising is wasteful
- ► Advertising promotes monopolies

Question No: 31 (Marks: 1) - Please choose one

Deception involves all the following conditions necessary to be possessed by the author of an ad, **EXCEPT:**

- ► The author must know it to be false
- ► The author must knowingly do something to bring about this false belief
- ► The author must know it to be true
- ► The author must intend to have the audience believe something false

Question No: 32 (Marks: 1) - Please choose one

All of the following are deceptive or manipulative marketing practices, **EXCEPT:**

► Multiple pricing

► Bait and switch selling

► Markdowns from a suggested retail price that is never charged

► Everyone can freely enter and exit the market

Question No: 33 (Marks: 1) - Please choose one

Which of the following is a situation where demand always exceeds supply?

► None of the given options

► Monopoly

► Perfect competition

► Free market

Question No: 34 (Marks: 1) - Please choose one

Which of the following define that someone has a well defined and consistent set of preferences, and who knows how personal choices will affect those preferences?

► Utility maximization

► Rational utility maximizer

► Manufacturers' utility

► None of the given options

Question No: 35 (Marks: 1) - Please choose one

Which of the following is the period of time during which the product will function as effectively as the consumer is to lead to expect it to function?

► Reliability

► Service life

► Maintainability

► Product safety

Question No: 36 (Marks: 1) - Please choose one

Which of the following describes the ease with which the product can be repaired and kept in operating condition?

► Reliability

► Service life

► Maintainability

► Product safety

Question No: 37 (Marks: 1) - Please choose one

Which of the following is **NOT** a benefit of having a code of ethics?

► Supplier loyalty increases

► Managers get more confident

► Competitive positions improve

► Employee loyalty increases

Question No: 38 (Marks: 1) - Please choose one

Which of the following is a legal doctrine that holds that manufacturers must bear the costs of injuries resulting from product defects regardless of fault?

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► Manufacturer's liability

► Consumer's liability

► Strict liability

► Product liability

Question No: 39 (Marks: 1) - Please choose one

Marketing ethic refers to which of the following?

► Improper behavior in marketing

► Acceptable conduct in society

► Improper behavior in business

► Acceptable conduct in marketing

Question No: 40 (Marks: 1) - Please choose one

Which of the following is the result of effective advertising campaigns on consumers, which gives large corporations control over a major portion of the market?

► Brand loyalty

► Consumer protection

► Reliability

► None of the given options

Question No: 41 (Marks: 1) - Please choose one

Which of the following is a proposed program where a large scale publicly funded education program aimed at empowering ordinary citizens?

► Investment in men

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► Investment in women

► Investment in children

► Investment in non-humans

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the primary function of commercial advertisements?

► Provide unbiased information

► Sell products to prospective buyers

► Provide biased information

► None of the given options

Question No: 43 (Marks: 3)

What is the theme of the book "Limits to Growth"? What is its inference?

Question No: 44 (Marks: 3)

What is meant by green revolution?

Question No: 45 (Marks: 3)

What are the various bases to determine the ethical nature of an advertisement?

Question No: 46 (Marks: 5)

Pollution always imposes external costs—that is, costs for which the person who produces the pollution does not have to pay. Pollution is fundamentally a problem of this divergence between private and social costs. Explain why should this divergence be a problem?

Question No: 47 (Marks: 5)

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Use of puffery currently is an ethical and legal issue in advertising. Thinking in this perspective; if puffery is declared legal, why it is problematic as part of a competitive comparison? Briefly discuss.

Question No: 48 (Marks: 10)

Give arguments for and against the critics of market to consumer issues.

Question No: 49 (Marks: 10)

Where did Ford Pinto go wrong? In other words, what contractual principles did they violate?

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